

CLAIM & RESPONSE

HINDENBURG VS BUCH FAMILY

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| <ul style="list-style-type: none">○ Madhabi Puri Buch and her husband Dhaval Buch had stakes in obscure offshore funds that were allegedly used to invest in Adani Group stocks | <ul style="list-style-type: none">○ The investment was made in 2015 when they were private citizens living in Singapore and two years before Madhabi joined Sebi as whole-time member |
| <ul style="list-style-type: none">○ The tiny fund had close ties to Adani. The Founder and CIO of the IPE Plus Fund was Anil Ahuja, who was previously a director of Adani Enterprises and Adani Power | <ul style="list-style-type: none">○ Decided to invest in the fund because Ahuja is Dhaval's childhood friend and investor. Ahuja said at no point did the fund invest in any Adani company |
| <ul style="list-style-type: none">○ During Buch's tenure as a WTM, her husband Dhaval was appointed as a Senior Advisor at Blackstone despite having no prior experience in real estate or capital markets | <ul style="list-style-type: none">○ The Blackstone Private Equity appointment in 2019 was on account of Dhaval Buch's expertise in supply chain management, and was before Madhabi was appointed Sebi chief |

HINDENBURG VS SEBI

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| <ul style="list-style-type: none">1 It has been 18 months since the report on the Adani Group, and Sebi has yet to take any public action against the group despite evidence being given | <ul style="list-style-type: none">1 Allegations have been thoroughly investigated. The Supreme Court in January noted that Sebi had completed 22 out of 24 investigations. Then, one more was completed |
| <ul style="list-style-type: none">2 Sebi sent a show-cause notice but did not identify any factual errors in the 106-page analysis, and focussed instead on the disclosure around the short position | <ul style="list-style-type: none">2 The show-cause notice, alleging violations of securities laws by Hindenburg Research, was issued following due legal process |
| <ul style="list-style-type: none">3 Implementation of the Sebi (REIT) Regulations 2014, as well as subsequent amendments, has significantly benefited a large multinational financial conglomerate | <ul style="list-style-type: none">3 The regulations have been amended periodically. All regulations are notified after receiving approval from the Sebi Board |

in the report was made in 2015, when Buch and her husband were private citizens residing in Singapore, almost two years before she joined Sebi. Buch was appointed as a Whole-Time Member of Sebi in April 2017, and became Chairperson on March 1, 2022, for a period of three years.

The Hindenburg report has made two serious allegations: the couple's investment in Ahuja's fund and that this fund was used to invest in Adani firms. The Adani Group has responded by saying that Ahuja was a nominee director of 3i, an investment firm that had invested in Adani Power (2007-2008) and, later, a director of Adani Enterprises until 2017.

Buch has said the decision to invest was driven by the fact that Ahuja, its Chief Investment Officer, is Dhaval Buch's childhood friend and had an extensive investing career with Citibank, JP Morgan, and 3i Group plc. "The fact that these were the drivers of the investment decision is borne out by the fact that when Ahuja left his position as CIO of the fund in 2018, we redeemed the investment," she said in a statement issued by the couple.

As confirmed by Ahuja, at no point did the fund invest in any bond, equity, or derivative of any Adani Group company, the Buch couple said in their statement. At its peak, the fund's assets under management (AUM) were around \$48 million (nearly ₹400 crore), with over 90% of the fund consistently invested in bonds, according to a declaration by 360 One to Indian exchanges.

The Buchs' holdings in the fund were less than 1.5% of its total inflows. There are some unanswered questions, such as why Buch used her private Gmail account to request the redemption of units in the fund from IIFL in February 2018, while she was a Whole-Time Member at Sebi, and whether she had